Authority for Personal Data
P.O. Box 93374, 2509 AJ The Hague
Hoge Nieuwstraat 8, 2514 EL The Hague
T 070 8888 500 - F 070 8888 501
autoriteitpersoonsgegevens.nl

The Minister of Economic Affairs and Climate
P.O. Box 20401
2500 EK THE HAGUE

Date
February 14, 2023
Our reference
z2023-274
Your letter dated
January 16, 2023
Your reference
WJZ/22508019
Subject
Subsidy Scheme for Compensation of Energy Costs (TEK)

Dear Ms. Adriaansens,

By email dated January 16, 2023, the Authority for Personal Data (AP) was consulted pursuant to the provisions of Article 36, paragraph 4, of the General Data Protection Regulation (GDPR) regarding the draft regulation concerning temporary rules for subsidies for energy-intensive SMEs to compensate for increased energy prices (hereinafter: the draft).

The energy suppliers will provide files containing all EAN codes to which they supply energy, along with the Chamber of Commerce (KvK) number. These files also include EAN codes of customers who will not apply for a subsidy under the scheme. This is contrary to the principle of minimal data processing. The necessity of this infringement has not been sufficiently demonstrated. The AP objects to this point in the draft and advises against continuing the procedure unless the objection is resolved.

Scope of the draft

In addition to households, energy-intensive SMEs are also severely affected by developments in the energy market due to the Ukraine conflict.1 In a motion by members Hermans (VVD) and Heerma (CDA), the cabinet was requested to quickly come up with a compensation scheme focused on energy costs for energy-intensive SMEs.2 The cabinet opts for a scheme that has the shortest possible implementation time (Regulation for Compensation of Energy Costs).3

The Compensation for Energy Costs (TEK) is provided for the period from November 1, 2022, to December 31, 2023.

To qualify for the TEK, an SME4 must meet the following requirements:

a. meets the European SME definition5;
b. is established in the Netherlands and registered with the trade register; and
c. is an energy-intensive company where at least 7 percent of the turnover consists of energy costs.6

In verifying the data provided by the subsidy applicant7, data from the Tax and Customs Administration will be used, among others.8 This concerns data on the turnover of the subsidy applicants.

For the implementation of the scheme, the standard annual consumption (SJA) and standard annual feed-in (SJI) for electricity and the standard annual consumption for gas (SJV)9, as well as address data and data related to the connection, are also required.10 These are obtained from the network operators11 and are recorded in the so-called central connection register (CAR). The CAR lists a company name for each EAN code[12]. Unfortunately, this field cannot be searched for the EAN code (and the required data) effectively because this field can be filled in freely by the network operator's employee. The various spellings of a company name hinder the search for EAN codes of an SME.[13] Therefore, files are provided by the suppliers containing all EAN codes to which they supply energy, along with the KvK number.[14] However, this file also contains EAN codes of customers who will not apply for a subsidy under the scheme.

1 Parliamentary Documents II 2022/23, 36200, no. 77.
2 Parliamentary Documents II 2022/23, 36200, no. 17.
3 Parliamentary Documents II 2022/23, 36200, no. 138.
4 Or whether a group of SMEs is involved.
5 According to the EU definition, an SME has fewer than 250 employees and an annual turnover of less than €50 million or a balance sheet total of less than €43 million. The enterprise is independent, and the aforementioned criteria apply to the total enterprise, including partner enterprises and affiliated enterprises.
6 Article 2 of the draft.
7 See Article 10 of the draft.
8 Article 14, paragraphs one and two, of the draft.
9 See the definitions in Article 1 of the draft.
10 Article 14, paragraph four, of the draft.
11 Article 14, paragraph five, of the draft.
12 Unique identification number according to the European Article Numbering used as a unique designation of a connection to an electricity or gas network (Article 1 of the draft).
13 DPIA p. 7.
14 Article 14, paragraph three, of the draft.

Scope of the advice

This advice is limited to the processing of personal data: data concerning identified or identifiable natural persons.[15] In this case, it concerns SMEs insofar as they can be traced back to a natural person (for example, a sole proprietorship). This advice does not relate to legal entities that cannot be traced back to a natural person.

Advice

Data minimization versus speed of action
The suppliers provide files with all EAN codes to which they supply energy, along with the Chamber of Commerce (KvK) number. However, these files also contain EAN codes of customers who will not apply for subsidies under the scheme.

The explanation states the following:

“This is not in accordance with the requirement of data minimization, but given the timeframe within which the scheme must be established and (advances of) subsidies must be paid out, this is necessary.”[16]

However, the explanation is too brief in its justification. It does not indicate how long it would take to reach a solution that does comply with the requirement of minimal data processing.[17] Furthermore, it is unclear how the relationship stands between the number of potential subsidy applicants (62,000) and the number of customers whose EAN codes/KvK numbers will be provided. As a result, proportionality cannot be fully weighed.

The Dutch Data Protection Authority (AP) advises to better justify the necessity of this processing.

Privacy by design
The background of the supplier file with all EAN codes/KvK numbers lies in an incorrect data definition in the central connections register (CAR), making it difficult to search for businesses.

To prevent problems in the future, the CAR should include the KvK number instead of the business name.

According to Article 25 of the GDPR, safeguards must be built into the system design to comply with the provisions of the GDPR.18

15 See Article 36, paragraph 4, GDPR and Article 4, paragraphs 1 and 2, GDPR.
16 Explanation p. 26.
17 Article 5, paragraph 1, under c, GDPR.
18 In this case, Article 5, paragraph 1, under c, GDPR.

The AP advises to amend the Information Code for electricity and gas in such a way that the CAR is adjusted as mentioned above.

Retention periods
Neither in the scheme itself nor in the explanation is the retention period of the processed data addressed.

The AP advises to pay attention to the retention period in the explanation.19

Disclosure of the advice

The AP intends to make this advice public on the website www.autoriteitpersoonsgegevens.nl as soon as the text of the (amended) draft is made public. The AP would like to know the expected timing of the disclosure as soon as this is known.

The draft has limited implications for the workload of the AP.

Sincerely,
Dutch Data Protection Authority,

Aleid Wolfsen
Chairman

19 That retention periods may be subject to regulations underlying the processing of personal data is implied in Article 6, paragraph 3, GDPR (which refers to “storage periods”).